



Deutsche Bank
Research

What Q1's emerging themes mean for 2026 and beyond

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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1. What themes are driving markets?
2. The market impact of specific themes
3. Investor psychology over the last quarter
4. How Q1's themes fit in with our megatrend framework
5. Individual megatrends: The recent impact

Thought experiment

If, at the beginning of 2026, someone asked how far the S&P 500 would fall if the Strait of Hormuz was closed, what would you have answered?

Probably more than the 6-7% peak-to-trough drop in Q1

The result reflects not just that corporate earnings forecasts remain resilient and investors are fearful of being out of the market if there is a sudden ceasefire in Iran and markets rebound. It also reflects how some of the broader themes and megatrends in markets are influencing the outcome.

Our thanks to Krystle Coe for her assistance with this presentation



1. What themes are driving markets?

The themes driving markets in Q1 – based on AI analysis of our daily market commentaries



How much did each key theme in Q1 impact the S&P 500 (as a proxy for risk assets more broadly)?



Iran conflict

It mattered ... a lot ... but the reality is that other factors support markets



AI disruption

The sell-off is just one of many over the last 3 years. Good tech earnings for Q1 & 2 may assuage fears



Fed policy

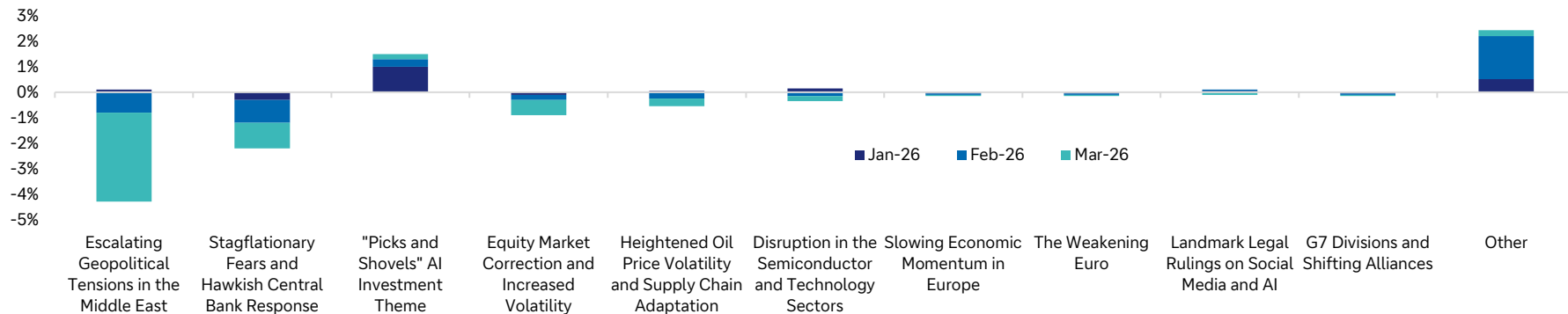
Central banks typically don't react to supply-side shocks, but the Fed may delay cuts



Energy markets

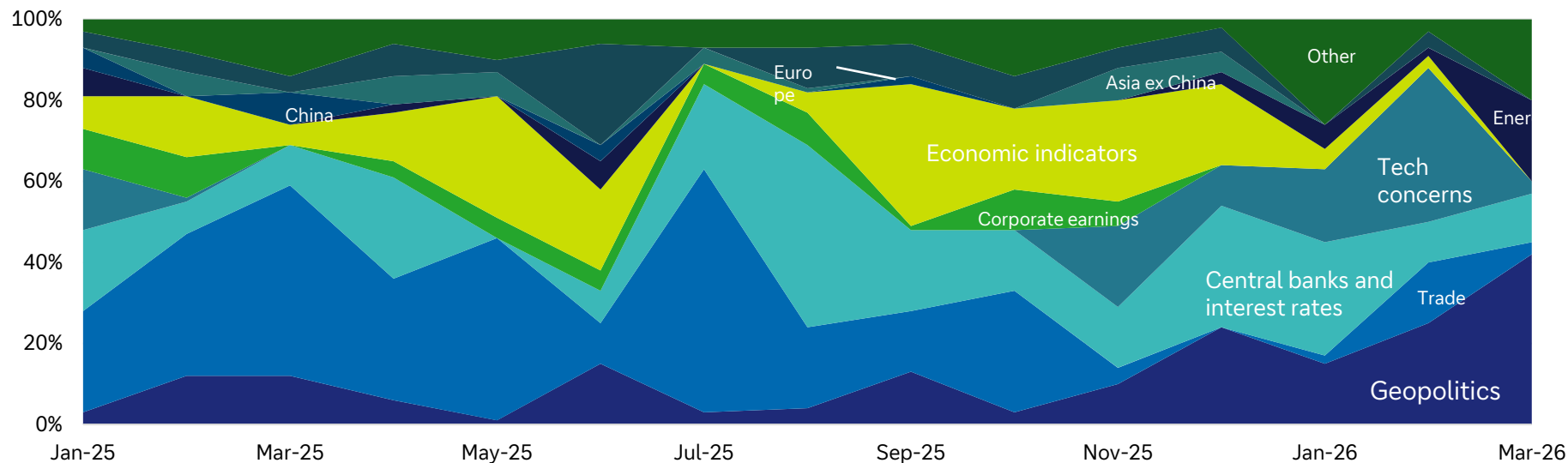
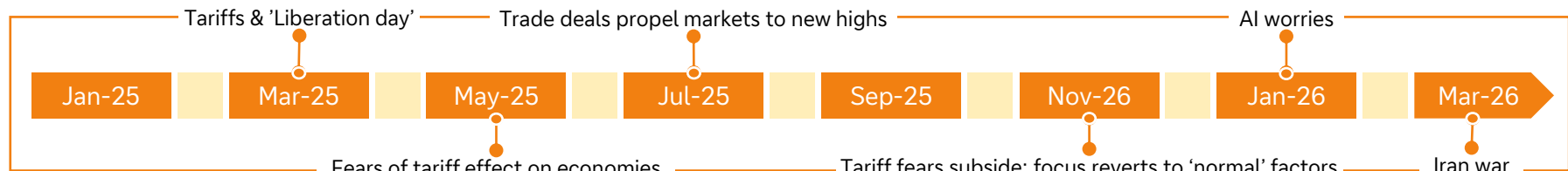
Investors are not pricing in a recession, but if oil remains above \$90, they may suddenly do so

Impact of Q1's key themes on the S&P 500 (AI assisted by dbLumina)



Source: dbLumina, Deutsche Bank.

Our AI analysis shows the importance of each 'theme category' to markets each month



Source: dbLumina, Deutsche Bank.

The impact of today's themes 1 year ahead



We asked our AI model, dbLumina, to analyse the impact of the themes for the quarter. The 'positive' and 'negative' indicators are relative to expectations for the year at the beginning of the quarter. For example, a net negative score for the S&P 500 does not mean we expect the index to fall. Rather it means we see the rising probability that the result will be lower than previously expected.

Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 Middle East Conflict	Significantly Negative	Significantly Negative	Moderately Positive	Significantly Positive
2 Stagflation & Hawkish central banks	Significantly Negative	Significantly Negative	Significantly Positive	Significantly Positive
3 "Picks & Shovels" AI	Significantly Positive	Significantly Positive	Slightly Positive	Slightly Positive
4 Market Correction	Slightly Negative	Moderately Negative	Neutral	Neutral
5 Oil Price Volatility	Moderately Negative	Moderately Negative	Moderately Positive	Significantly Positive
6 Tech/Semiconductor Disruption	Slightly Negative	Moderately Negative	Neutral	Neutral
7 Slowing European Economy	Slightly Negative	Slightly Negative	Neutral	Neutral
8 Weakening Euro	Slightly Negative	Slightly Negative	Neutral	Slightly Negative
9 Landmark Legal Rulings	Slightly Negative	Moderately Negative	Neutral	Neutral
10 G7 Divisions	Slightly Negative	Slightly Negative	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-9	-9	-1	-6

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

The impact of today's themes 3 years ahead



We are far more optimistic into the medium term. That appears to reflect the fact that the background economic and corporate fundamentals are relatively solid. Still, there are numerous trends working against global economic growth, although these factors will be specific to individual countries.

Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 Middle East Conflict	Slightly Negative	Slightly Negative	Slightly Positive	Slightly Positive
2 Stagflation & Hawkish Banks	Neutral	Slightly Positive	Moderately Negative	Moderately Negative
3 "Picks & Shovels" AI	Significantly Positive	Significantly Positive	Moderately Negative	Moderately Negative
4 Market Correction	Neutral	Slightly Positive	Neutral	Neutral
5 Oil Price Volatility	Slightly Negative	Neutral	Slightly Positive	Slightly Positive
6 Tech/Semiconductor Disruption	Moderately Positive	Moderately Positive	Slightly Negative	Slightly Negative
7 Slowing European Economy	Slightly Negative	Slightly Negative	Neutral	Neutral
8 Weakening Euro	Neutral	Neutral	Neutral	Neutral
9 Landmark Legal Rulings	Neutral	Slightly Positive	Neutral	Neutral
10 G7 Divisions	Slightly Negative	Slightly Negative	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-1	+3	+1	+1

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

Emerging themes – part 1

We asked dbLumina to help us identify the key emerging themes that have the potential to most impact markets and economies in the short term



1

The 'AI hardware' squeeze and supply chain bifurcation

In Q1, there was a clear "bifurcation" between AI beneficiaries (hardware) and laggards (software), as investors grew more discerning.

12-Month Outlook: The focus will shift from the conceptual "AI disruption" to the tangible constraints and opportunities in the hardware manufacturing process.

We expect increased volatility in semiconductor stocks as investors scrutinise margin pressures, capex guidance, and the ability to maintain technological leadership.

US policy on the export of advanced chips will likely impact earnings for a concentrated but critical group of companies.

2

Sovereign fiscal fragility and the rising cost of debt

Mounting government deficits and rising debt service costs may become more prominent, particularly given the energy price shock.

The dollar's drop and then rally in Q1 partly reflected growing unease about the US fiscal and policy path. In Europe, fiscal concerns in France widened spreads in a sign of how rapid the issue can impact markets.

12-Month Outlook: We expect fiscal discipline to emerge as a continuous market narrative rather than a sporadic one.

Yield spreads may spike rapidly as markets price in a 'great divergence' in fiscal health. This may lead to near-term headwinds for equity markets in more-indebted nations and could lead to renewed domestic political tensions, particularly in Europe.

Emerging themes – part 2

A key learning from the 'emerging theme' analysis is the focus on some longer-term themes that have been pushed aside by the conflict in Iran



3

Reshoring and the proliferation of “friend-shoring”

This builds on the theme of ‘middle powers’ building alliances between themselves, restructuring global supply chains. In Q1, Canada was particularly active with Prime Minister Carney visiting numerous middle power countries to seek closer economic ties. Meanwhile, the EU and India progressed a trade deal and, within Europe, there was a greater push to build out domestic military capabilities.

12-Month Outlook: ‘Middle power’ countries are likely to increase their capital investment and M&A activity in sectors deemed strategically important, such as semiconductors, critical minerals, and defence.

This will benefit industrial, materials, and energy sectors in politically aligned countries. However, it may also lead to higher costs and inefficiencies for multinational corporations as they are forced to reconfigure their supply chains.

This may drag on margins and add low-level, persistent inflation.

4

Strain in US-consumer and labour market dynamics

There is a worrying paradox of weak consumer sentiment but a resilient (potentially fragile) economy – a trend confirmed by economic reports and surveys in Q1. In particular, the “two-speed” economy became more apparent, with reports noting job cuts in sectors like government, finance, and warehousing (healthcare remained strong). This suggests a lack of broad-based strength.

12-Month Outlook: The health of the US consumer is our most closely watched variable for the US economy and the S&P 500. Any slowdown will put the Fed in a difficult position, forcing it to choose between fighting inflation and supporting a weakening economy. A key indicator is the performance of consumer discretionary and staples stocks.

Current evolving risks

The conflict in the Middle East has acted as a catalyst, amplifying pre-existing inflationary pressures and forcing central banks into a hawkish corner, thereby creating a significant risk of a global stagflationary shock



1

The stagflationary shock: A vicious cycle

The global economy is facing a stagflationary threat

The conflict in Iran has caused a dramatic energy price shock which has occurred in an environment where inflation was already proving persistent.

Key central banks have responded with cautious or hawkish rhetoric, signalling that inflation remains a priority even at the cost of economic growth.



2

Geopolitical escalation and fragmentation

The conflict in Iran is the epicentre of global risk and has quickly metastasised with the involvement of non-state actors (Hezbollah, Houthis etc), shipping disruption, and attacks on regional neighbours.

The divisions within the G7 have become clear with European allies showing frustration at the lack of consultation. That further risks a fracturing of traditional Western alliances



3

Equity market de-risking and fragile sentiment

Global equity markets are in a correction phase with the S&P 500's peak-to-trough drop being more severe than the average response to geopolitical shocks.

The positive narrative around the "Picks and Shovels" of AI, while still present, has been completely overshadowed



4

European economic vulnerability

Europe is particularly exposed as it faces an energy shock and a sharp economic slowdown.

The ECB is in an exceptionally difficult position, forced to maintain a hawkish stance to fight imported inflation despite a weakening domestic economy



Emerging risks underestimated by the market – part 1

While investors are currently grappling with the immediate impact of the Iran conflict, there are several second- and third-order consequences that appear to be underestimated



1

European sovereign debt concerns

The underestimated risk

The combination of a hawkish ECB, slowing growth, and the need for increased fiscal spending on defence and energy security is sowing the seeds of a renewed sovereign debt crisis in the Eurozone.

Historical lesson & analysis

The crisis of 2011-2012 showed how quickly concerns over the fiscal position of one member state can create systemic contagion. The yields on peripheral debt are a potential canary in the coal mine. A hawkish ECB, may have a difficult choice to make, particularly if one of the options involves removing the safety net that has protected the Eurozone for a decade.

The divisions in the G7 suggest that a coordinated political solution, which was crucial to resolving the last crisis, will be much harder to achieve this time.

2

The “picks and shovels” AI bubble

The underestimated risk

While the “picks and shovels” narrative appears robust, it is not immune to a bubble. The massive capital expenditure into the AI supply chain is predicated on future returns that are still largely theoretical.

Historical lesson & analysis

History is replete with infrastructure-led bubbles, from the railway booms of the 19th century to the dot-com fibre-optic rollout. In each case, the building of the infrastructure was a real economic activity, but the eventual returns on that capital were wildly overestimated, leading to a collapse.

The risk is that the market has capitalised various firms based on a gold-rush mentality without fully accounting for the risk of overcapacity or technological obsolescence.

Emerging risks underestimated by the market – part 2

Just two of the big things that markets take for granted is the leadership of Big Tech firms and the ability of companies to adapt their supply chains. But what if developing events erect permanent obstacles?



3

The unravelling of the "Big Tech" social contract

The underestimated risk

The recent court verdicts against Google and Meta are likely not isolated events but the start of a fundamental, and costly, regulatory and legal realignment for Big Tech.

Historical lesson & analysis

The recent rulings are comparable to the landmark rulings against Big Tobacco. There, it took decades for the full financial and social impact of the tobacco litigation to be fully realised. Markets appear to be viewing today's verdicts as one-off legal setbacks. However, they may mark a pivotal shift in the "social contract" for technology firms.

The legal precedent could open the floodgates to class-action lawsuits and force a complete overhaul of business models built on user engagement and data monetisation. In turn, this will lead to structurally lower growth and profitability for some of the market's largest constituents.

4

The illusion of supply chain adaptation

The underestimated risk

While markets have been calmed by signs of supply chain adaptation, such as Saudi Aramco re-routing oil, these are suboptimal and less efficient solutions that will create a drag on global productivity.

Historical lesson & analysis

The response to covid and the Ukraine war showed that supply chains can adapt. However, that adaptation came at the cost of higher inflation and lower efficiency. The 'friend-shoring' and re-routing currently being celebrated are, in essence, a tax on the global economy.

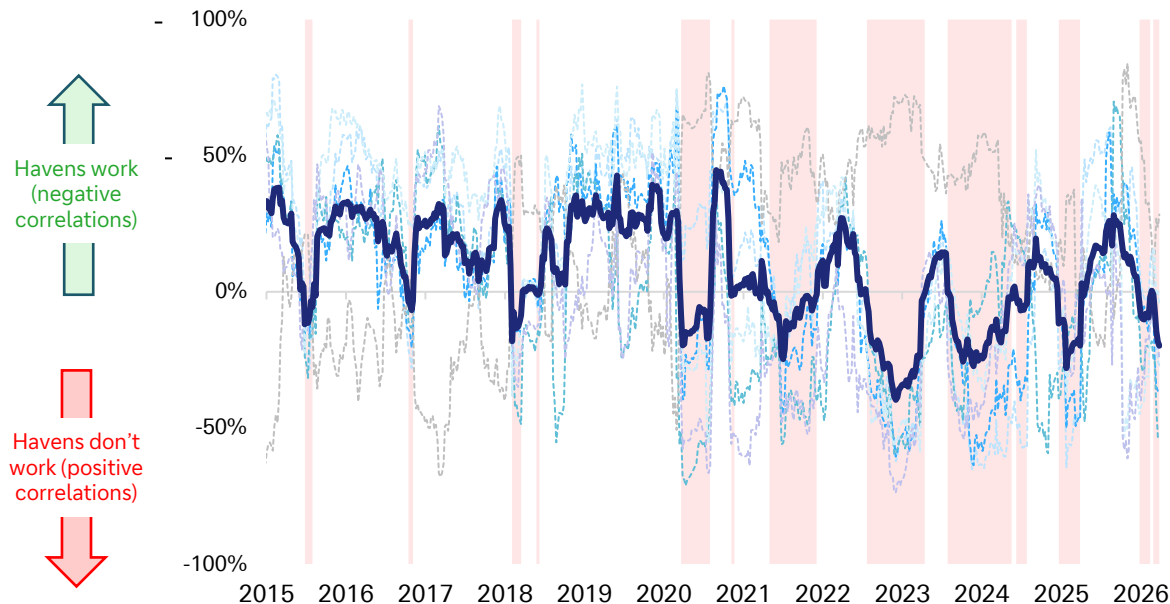
Moving from a just-in-time, efficiency-focused model to a just-in-case, resilience-focused one has a cost that may be underestimated in long-term growth and inflation forecasts. This structural inefficiency will linger long after the immediate crisis has passed.

The mysterious case of the disappearing haven assets

Our 'haven indicator' shows that traditional havens have been largely absent in the 2020s



Our haven indicator (20-wk rolling, avg across pairwise correlations with S&P 500)



Source: Bloomberg Finance LP, Deutsche Bank.

How our haven indicator works

We take six traditional haven assets:

1. Gold
2. US dollar
3. Japanese yen
4. Swiss franc
5. 10yr treasury
6. 10yr bund

We then analyse their individual correlation with the S&P 500 (our proxy for 'risk') over time. Finally, we take an average of the six correlations.

The red shading indicates periods where the average haven **did not work** (ie. positively correlated with the S&P 500). This includes:

1. Iran war in 2026
2. US tariff crisis in 2025
3. Peak fear about interest rate rises in 2022
4. Initial covid turmoil in 2020



2. The market impact of specific themes

Oil shocks and markets

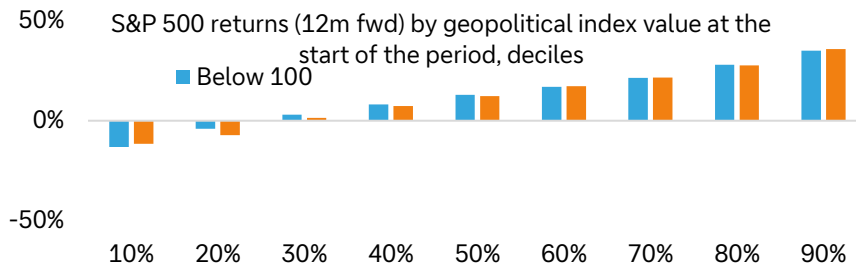
See our in depth reports [here](#) and [here](#)



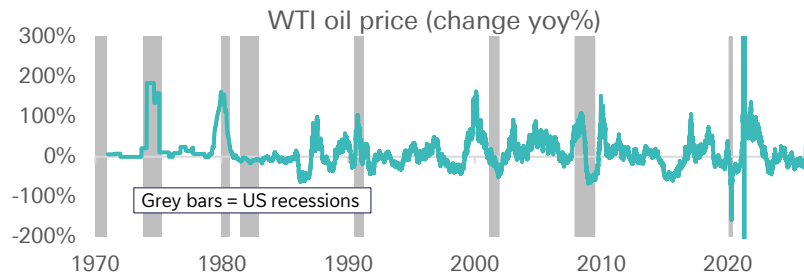
The moves in 10yr treasury yields are highly dependent on whether oil markets and thus US inflation are affected

- Linear models suggest that even very large oil price shocks may have muted effects on the US economy. But the assumption of linearity may be at odds with the historical observation that oil price shocks tend to coincide with recessions.
- Historical episodes of geopolitical tensions show little evidence of prolonged US equity drawdowns, with the median return of 9.8% in the 12 months after event starts. This holds regardless whether an event was related to the Middle East.
- The indifference to geopolitical uncertainty in the medium term is present not only in the US stocks. Among different economies since 1900, it's mostly European and Australian/Canadian stocks that experienced notably lower returns when the geopolitical risk index has been above 100 (a level it has been at for a few months now).
- Among commodities, oil is a better proxy for geopolitical risk in markets (outside covid) than gold even with the US less reliant on oil than in the 1970s. The impact on gold has actually been marginally lower when the geopolitical risk index is above 100 in periods since 2010
- Gold correlations also point to a lack of broader geopolitics as the key driver, especially recently – gold has been negatively correlated with crude and US defense stocks in the last couple of months
- What about defence stocks? – those respond to fiscal actions due to geopolitics and have been more responsive to the slides in geopolitics risk more than the upsides recently. This is to be watched given the run up in valuations

Whether geopolitical risk is high or low, S&P 500 returns after 12m tend to be similar



Recessions often coincide with sharp increases in oil prices.



Source: Bloomberg Finance LP, Finaeon, Caldara, Dario and Matteo Iacoviello (2022), "Measuring Geopolitical Risk," American Economic Review, Deutsche Bank.

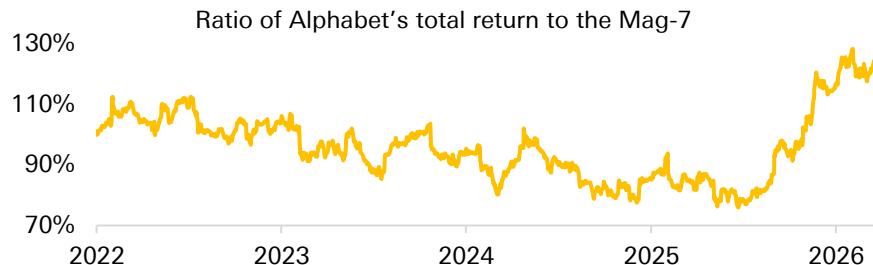


This sell-off is not the first ... but the frequency of new AI tools has accelerated in recent months

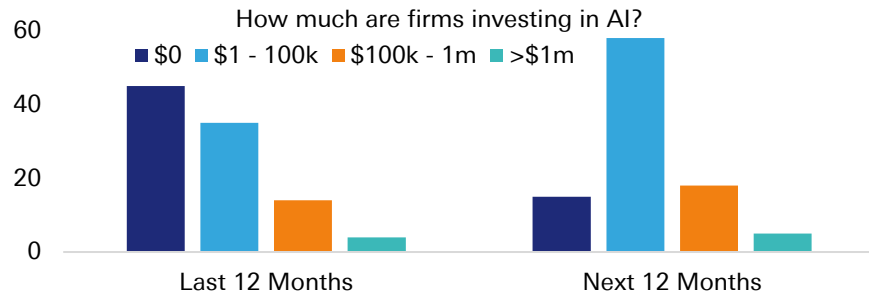
- The software scare saw the largest sell-off in US software and services stocks vs the broader market since the ChatGPT release in late 2022. Notably, the divergence between “hard” and “soft” IT industry groups was unusually wide.
- Semis and tech hardware were the relative winners in tech. Notable losses occurred in a small number of management and development real estate firms
- Other parts of the AI ecosystem have been notably resilient. Meanwhile, the drop in software & services means there is a technical reinforcement to the selloff
- Amid all the AI investment themes, there is more-or-less a consensus that power demand will surge. This helps shows that concerns about other parts – demand and supply, are becoming more frequent.
- On top of the Google example, following the DeepSeek announcement, Nvidia’s stock fell around 20%. Revenue estimates have doubled since then.
- There is also a lot of uncertainty about the impact on the more tangible firm outcomes, such as labour costs and customer satisfaction
- We aren’t ignoring the real issues. Several factors support the “AI disruption” narrative. The issue is that the sell-off has been so indiscriminate. Thus, deleveraging and momentum selling of broader industries was a key driver.
- Lastly, public credit markets are the key to a real risk-off event. These show a relatively small exposure to technology (8% in \$HY and 10% in IG) and recent spread widening is still modest. Private credit is more exposed but several factors including dry powder limit the risk of a proper turmoil as discussed [here](#).

Source: Bloomberg Finance LP, Duke University, FRB Richmond and FRB Atlanta, The CFO Survey - Q4 2025 (November 11 - December 1, 2025), Deutsche Bank.

The Google example: Alphabet lagged after the release of ChatGPT but revenues continue to be strong which assuaged market’s concerns about its LLM progress



Will software companies’ clients substitute with their own AI tools? Many firms want to increase AI spend but the investment may not fully replace solutions from specialised firms.



Central bank policy amidst an oil shock

See our in-depth reports [here](#) and [here](#)



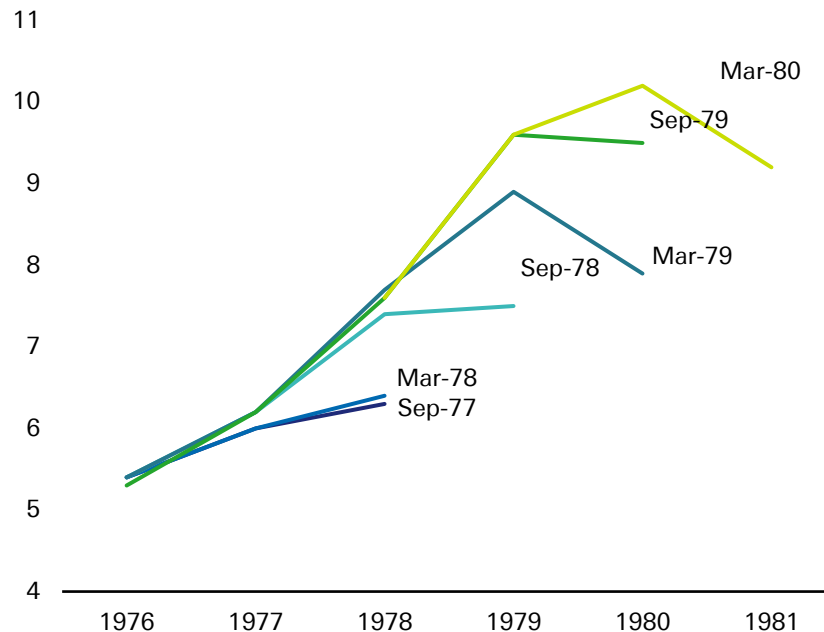
US interest rates are likely to remain on hold through to September

- Central banks face another energy shock, and were criticised last time for acting too late. This time, we can already see how they're trying to avoid a repeat, and are sounding less dovish (and sometimes hawkish) for a given level of inflation.
- Unlike in 2022, there's now an explicit acknowledgement that inflation has been above target for an extensive period. Indeed, Fed Chair Powell said in his March press conference that looking through energy shocks has "always been dependent on inflation expectations remaining well anchored", and he also mentioned the "broader context of five years now of inflation above target."
- ECB President Lagarde said the central bank will "do all that is necessary to ensure inflation is under control and French and Europeans don't suffer the same inflation increases like those we saw in 2022 and 2023."
- There is already discussion about the prospect of rate hikes pre-emptively, even before inflation has moved higher, rather than the more reactive conversation that took place in 2021-22.
- For the Fed, the latest trends suggest that a wait-and-see approach could gain broader support from more officials in the near term, absent a sudden deterioration in the labour market or a spillover of energy prices into core inflation. Our baseline expectation remains that the FOMC has likely delivered its final rate cut under Powell's leadership, and rates will remain on hold until September.

Source: Bloomberg Finance LP, Deutsche Bank.

It is easy to underestimate inflation during an energy shock

The Fed's staff inflation forecasts during the 2nd oil shock in the 1970s (%)



Private markets

See our in-depth reports [here](#) and [here](#)



More transparency and communication are likely as private capital targets a more risk-averse and liquidity-demanding investor base to grow.

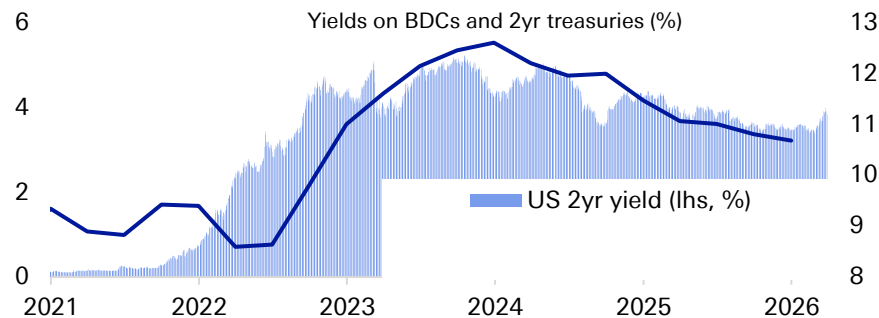
- In spite of the negative headlines and market performance, the largest managers continued with their exceptional fundraising and AUM growth. The focus is now on keeping the fundraising momentum, including among retail investors, in 2026.
- Where will the AI disruption fallout hit? There will be losers in private markets but price action in private capital-related assets that can be traded is likely misinterpreting the impact
- Any serious fallout from the actual impact of AI and credit fears on private capital is likely to be concentrated in the smaller, lower-quality corners of the industry.
- Many negative headlines have come from liquidity rather than credit risks amid withdrawal requests
- Dry powder continues to rise and is a sizable buffer to sector-specific problems.
- Outside software, exits are growing quickly – this should assuage investor concerns about private equity and free up more capital to do deals.
- There is thus some scope for a reversion in the recent selloff.
- We expect corporate buyers to step back into M&A. In fact, this may become private managers' preferred exit route given that public markets remain volatile amid geopolitical tensions.
- The biggest risk is a confidence crisis that grips wider financial markets even if it is not based on strong fundamental problems

Source: Bloomberg Finance LP, Deutsche Bank.

Potential losses on investments is low down the list of concerns for private capital managers – the economy and public markets are far more impactful



Reported dividend cuts can relate to falling interest rates rather than solely outright credit distress given that BDC yields are driven by short-term rates



Corporate earnings – what the latest set of results tells us

See our in-depth report [here](#)

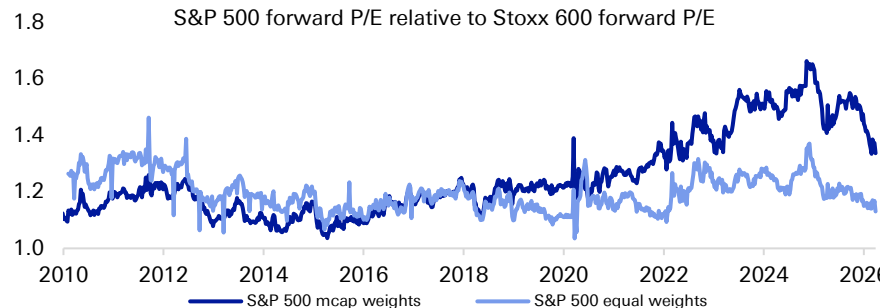


US stocks had a good earnings season with Q4 consensus EPS meaningfully moving up. It was more of a mixed picture in Europe.

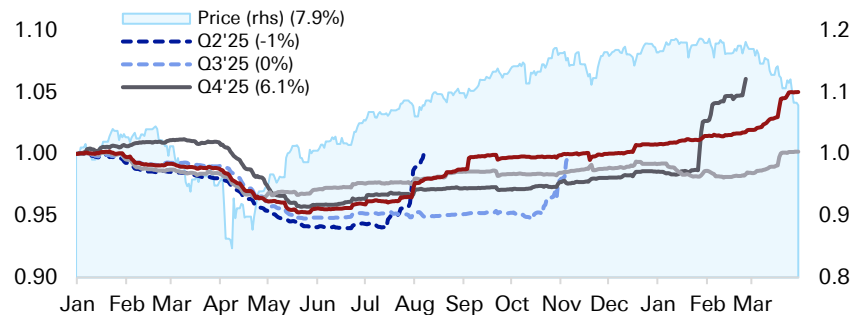
- It's been another strong season in the US, with more dispersion in Europe. Notably, since the start of the earnings season, sectors that posted larger earnings beats have performed worse. This sets up for more gains once investor sentiment around the rotation trade and AI stabilises.
- The rotation into a wider set of stocks (despite strong earnings from tech) is a sign of persistent risk appetite. It also shows that once the dust settles on software fears, a rerating is likely. The IT sector now trades effectively on par with the market, lower than during the 2022 tech wash out in relative terms.
- There has also been a strong yield preference among investors, with dividend stocks in favour before the Iran conflict as the Nasdaq has been slipping. High-growth names including those outside TMT have also been performing strongly until March, showing the rotation has been rather exclusively out of tech as opposed to a full risk-off move.
- Zooming out, investor aversion to software means the US now significantly trails rest of the world. But perhaps more importantly, this shunning of US large cap tech pushed other DM markets to unusually high valuations. Only 4 economies out of 23 are now relatively cheaper vs own history over the last 5 years than the US.
- The equal-weighted version of the S&P 500 is now lower relative to European markets than the average since the data begins in 2010.
- Earnings will be another catalyst, in addition to valuations, that may rerate US markets v RoW higher (despite momentum headwinds).

Source: Bloomberg Finance LP, Deutsche Bank.

The P/E premium of the S&P 500 over the Stoxx 600 is now also the lowest since 2022, wiping out the gains made since investors' AI enthusiasm proliferated.



S&P 500 earnings evolution since 2025





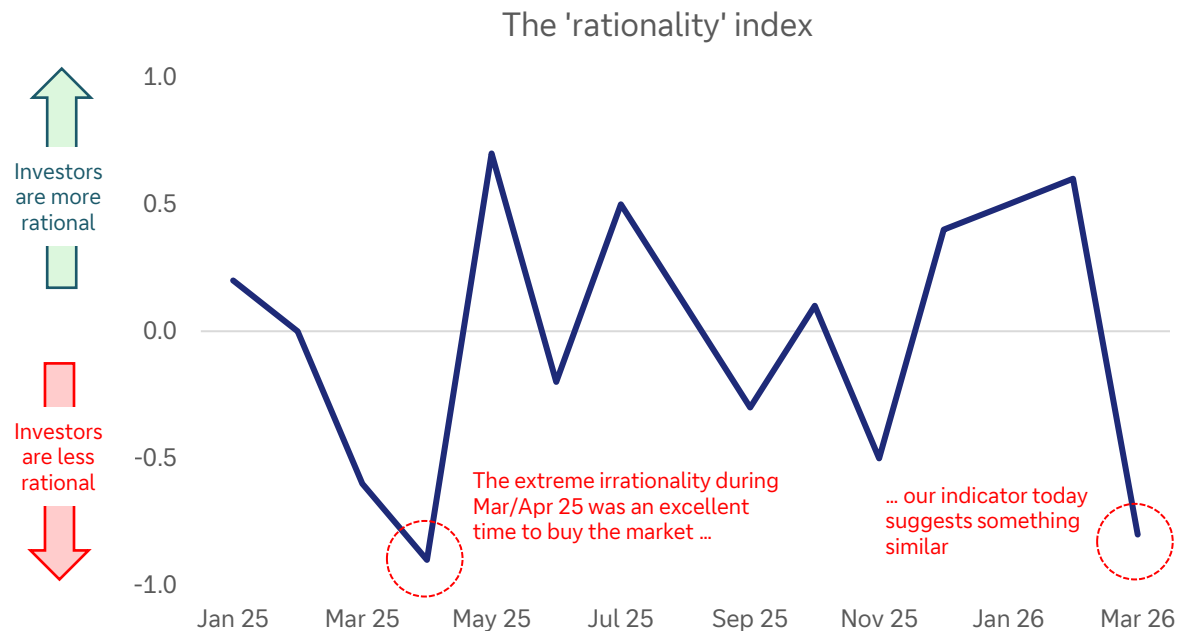
3. Investor psychology over the last quarter

Are investors rational? Right now, our indicator says “No”

Investors appear to be good at analysing markets during normal times and terrible during periods of uncertainty



Our dbLumina gauge indicates investors have been irrational during market drops and periods of geopolitical tensions



Source: dbLumina, Deutsche Bank.

What does it mean to be 'rational'

March 2026 Extreme Irrationality (Panic/Fear):

The escalation of the Iran conflict led to a spike in oil prices and a broad market sell-off, characterized as a "stagflationary shock". This overwhelming fear, with investors largely selling off risk assets, indicates a highly emotional and irrational response, despite brief moments of optimism.

Fear Indicators:

Sharp, disproportionate reactions to threats, widespread sell-offs on announcements, panic, flight to safety beyond what might be fundamentally warranted, strong emotional language in descriptions (e.g., "roiled," "plunge," "blistering sell-off," "panic selling,").

The impact of four market-moving emotions: fear, greed, euphoria and anxiety

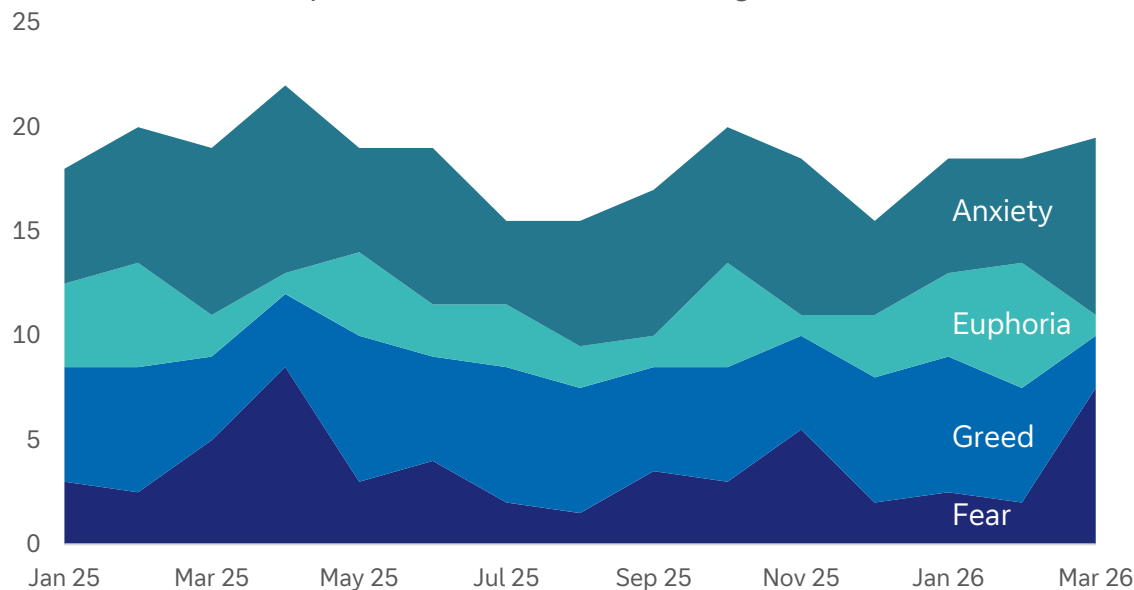
dbLumina tells us that anxiety and greed can go hand-in-hand even as fear and euphoria wax and wane.



Anxiety and fear ruled Q1

Status-quo bias is strong. That is creating more market volatility

The impact of investor emotions on global markets



Source: dbLumina, Deutsche Bank.

Investors have been reluctant this decade to consider the upside and downside before the event. So, when something 'bad' happens, market drops can be more aggressive than expected.

Some examples:

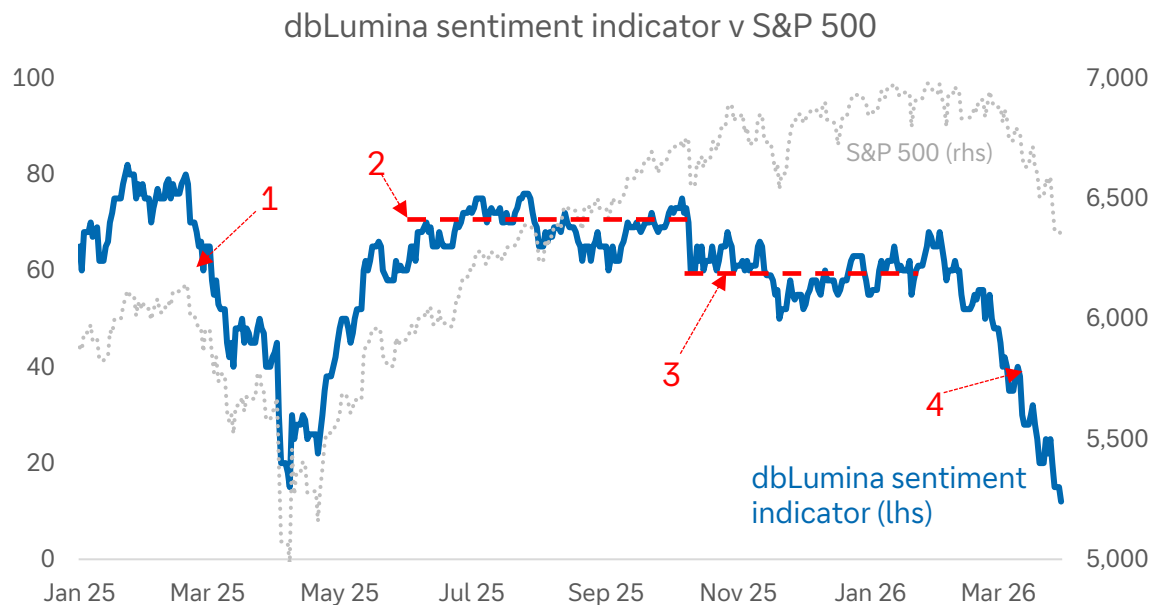
1. Demography and fiscal largesse is slow moving and predictable
2. Rush to price in the downsides of tech disruption
3. Fear of considering sovereign risk
4. Fear of underperforming peers is greater than the desire to beat them
5. Unwillingness to price in the upside of iterative technology improvements
6. Narrow vision of what globalisation is and the fear that it has peaked

We created our own gauge of sentiment. It uses AI to interpret macro, economic, and market signals.



This is our response to the fact that many confidence indices today fail to reflect reality. That is because they can fail to take into account the technological and social megatrends that now affect markets.

It is too early to say our gauge has predictive qualities but ...



Source: Bloomberg Finance LP, dbLumina, Deutsche Bank.

1. Indicator drops 20 points in Feb-25 before the most dramatic stock market declines relating to tariffs.

2. Consistent strong sentiment as markets recovered from the tariff-induced sell-off.

3. Lower sentiment as markets top-out on valuations and software/PC nerves grow. Yet, no catalyst for a large drop.

4. Our sentiment indicator commenced a steep drop on 3-Feb. It fell 20 points before the war in Iran kicked off.



4. How Q1s themes fit in with our megatrend framework

How Q1's themes fit inside our megatrend model



The most important megatrends signals in Q1

Technology

- The drop in the Nasdaq and low productivity

Sovereign debt & the gov. role

- Rising interest costs and fiscal policy uncertainty hurt, partially offset by robust treasuries demand

Geopolitics & globalisation

- The deteriorating geopolitical backdrop is balanced somewhat by robust global activity

Energy transition

- Rising prices of key metals

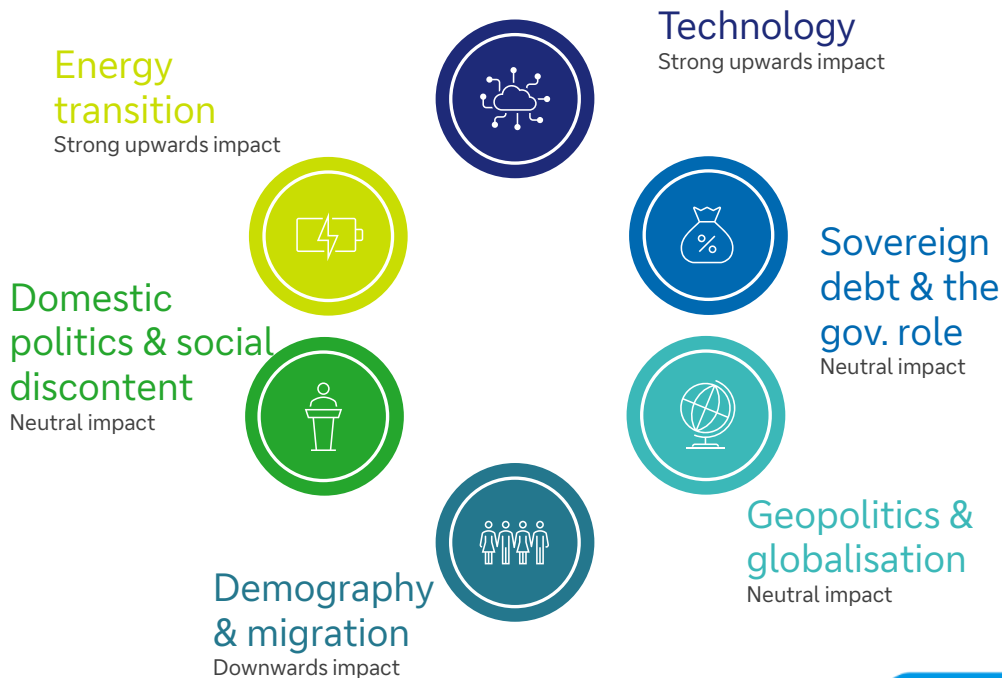
Domestic politics & social discontent

- Affordability and consumer sentiment remain a drag

Demography & migration

- A slow-burn in the working-age population

The overall impact of the ~60 signals on our megatrend model is positive for markets and economies. Our indicator has been improving in recent quarters:

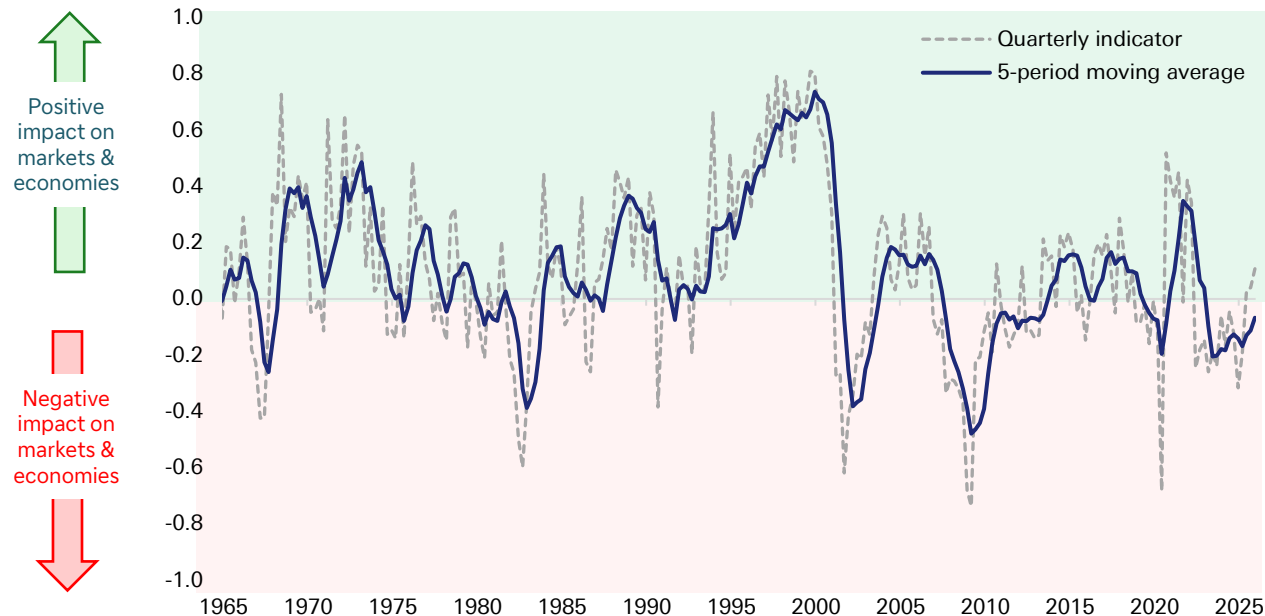


Our megatrend tracker incorporates ~60 indicators

This has risen over the last 12 months, indicating that the broader megatrends are improving and so should have a positive impact on markets and economies



An aggregate of 6 megatrends



Source: Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

How the indicator works

We start with the following six megatrends:

- Technology
- Demography and migration
- Sovereign debt and deficits
- Geopolitics and globalisation
- Domestic politics and social discontent
- Energy transition

We then analyse [~60 economic, market, and social indicators](#) that relate to each of the megatrends and analyse their impact on four key variables:

- GDP
- Equity prices
- Treasuries
- Inflation

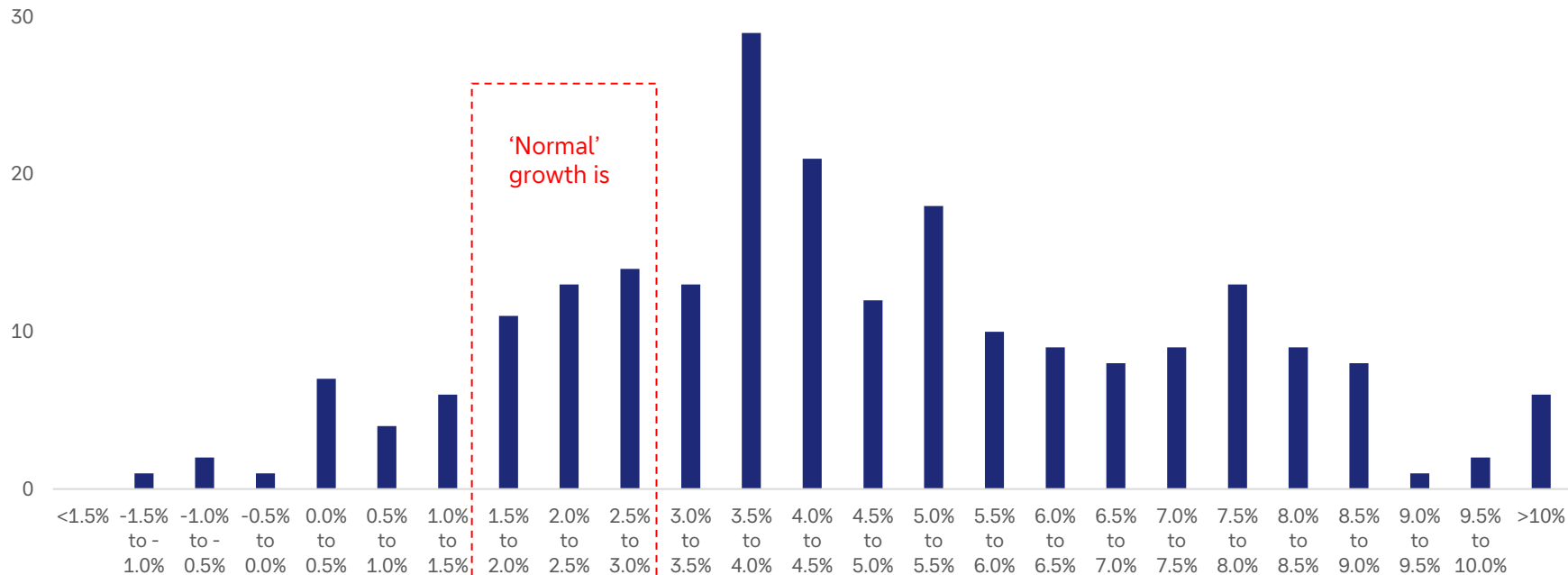
When we aggregate the results, it gives us an indication of how the six megatrends have affected economies and markets over time.

History shows that assuming 'normal' economic growth of around 2.5% into the medium term is very risky – in fact 74% of years have seen growth over 3% pa (on a rolling 10yr basis).

This is particularly the case when a world-changing technology is involved



Frequency of US GDP growth 1790-present (rolling 10yr, annualised)



Source: Finaeon, Deutsche Bank.



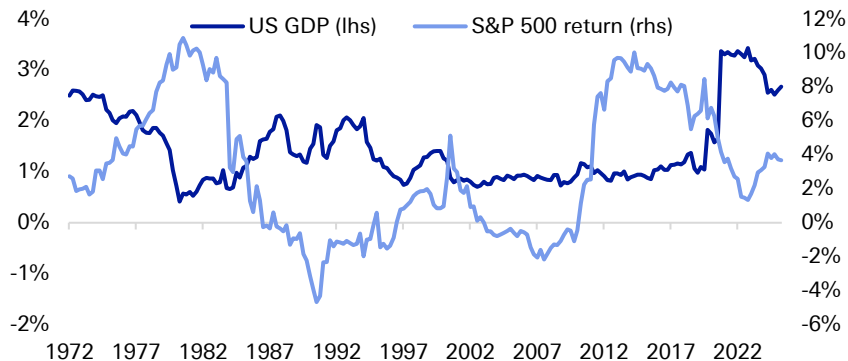
5. Individual megatrends: The Q1 impact



Rising tech spending lacks productivity growth for now

The -13% QoQ fall in tech stocks will be a drag on our indicator in Q1 that has been uplifted by increased tech spending in GDP accounts in recent quarters. Despite the increases in tech investment, business productivity remains somewhat tepid.

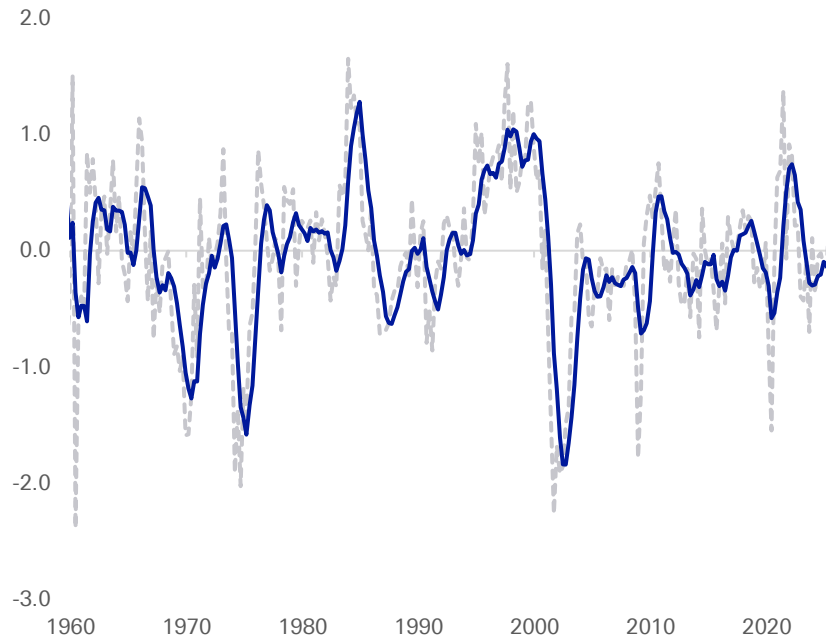
Rolling 10yr impact on GDP and S&P 500



Source: Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Economy-wide technology growth indicator

Higher = more spending, higher productivity

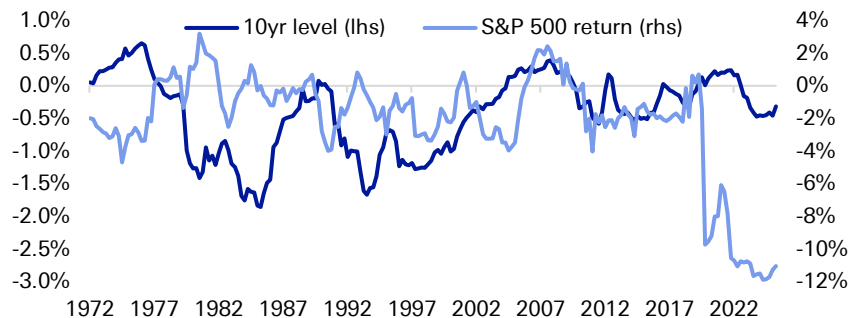




Stock gains have become dependent on fiscal expansion this decade

Our indicator remains below average for the last 10 years, amidst high debt-to-GDP, rising interest costs and elevated fiscal policy uncertainty. But a narrowing deficit, the still robust demand for treasuries and comparatively contained yields have been propping up our composite in recent quarters.

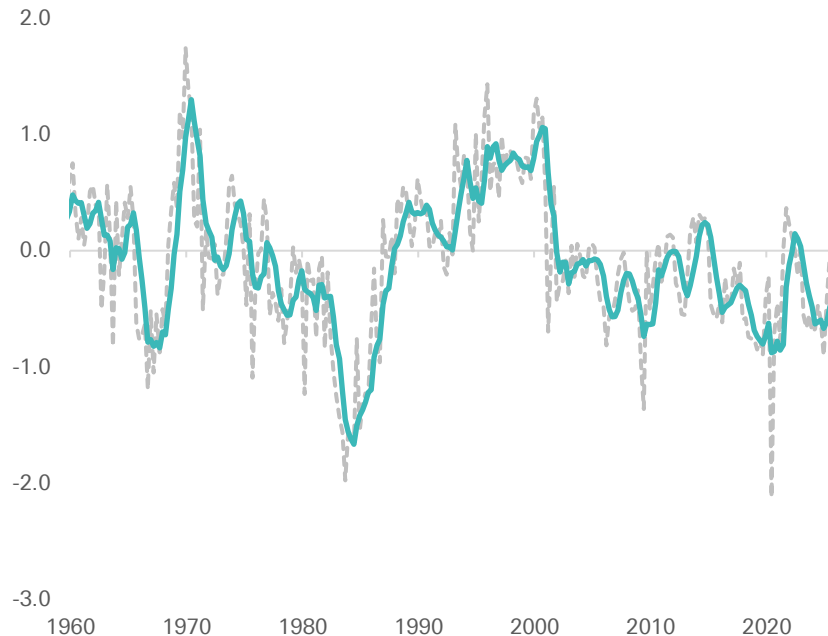
Rolling 10yr impact on 10yr and S&P 500



Source: Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

US sovereign debt and the government's role indicator

Higher = improving fiscal position, lower govt spending

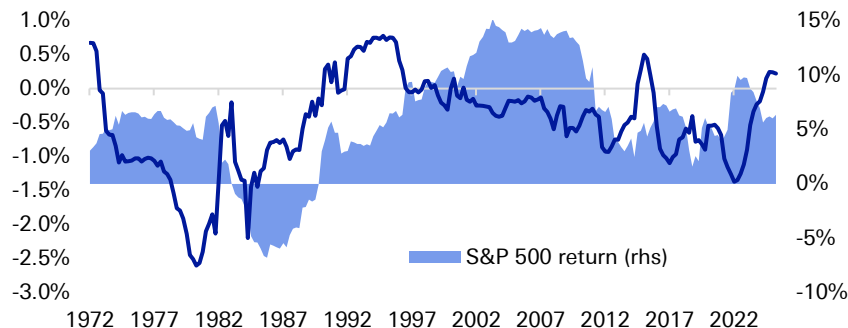




Our gauge is at a 10-year neutral level as trade and activity hold up despite deteriorating policy

Deteriorating geopolitical backdrop and policy uncertainty have been outweighed by still robust trade and global activity backdrop, especially since the post-covid disruptions in recent quarters. Overall, however, our index has shown significant deterioration since 2010 and relative to 1990s-2000s prints.

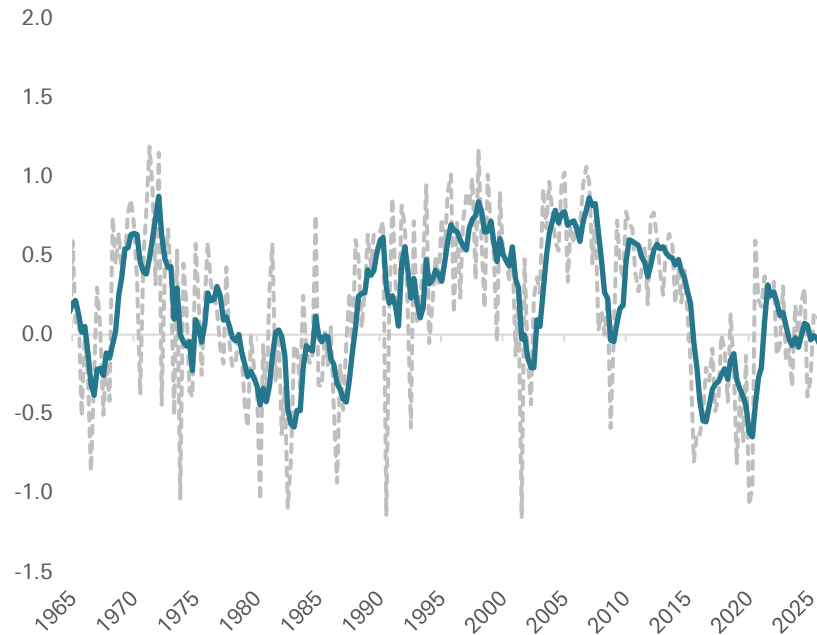
Rolling 10yr impact on CPI and S&P 500



Source: Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Geopolitics & globalisation index

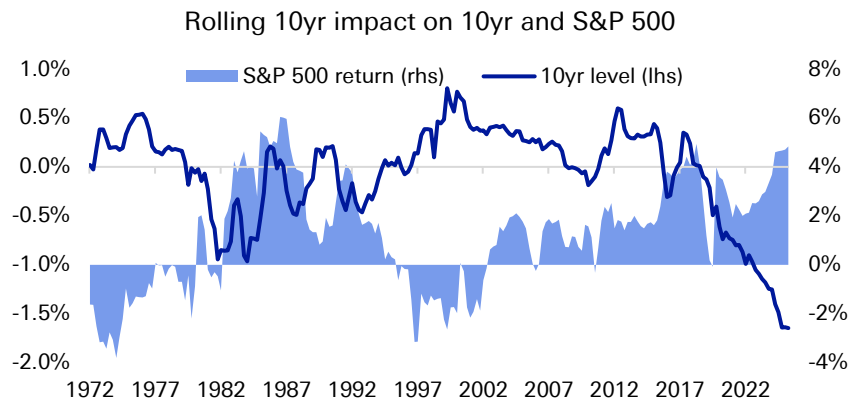
Higher = more stable geopolitical backdrop, more trade





A net rise in factors helping the transition has been associated with lower yields and higher stock returns

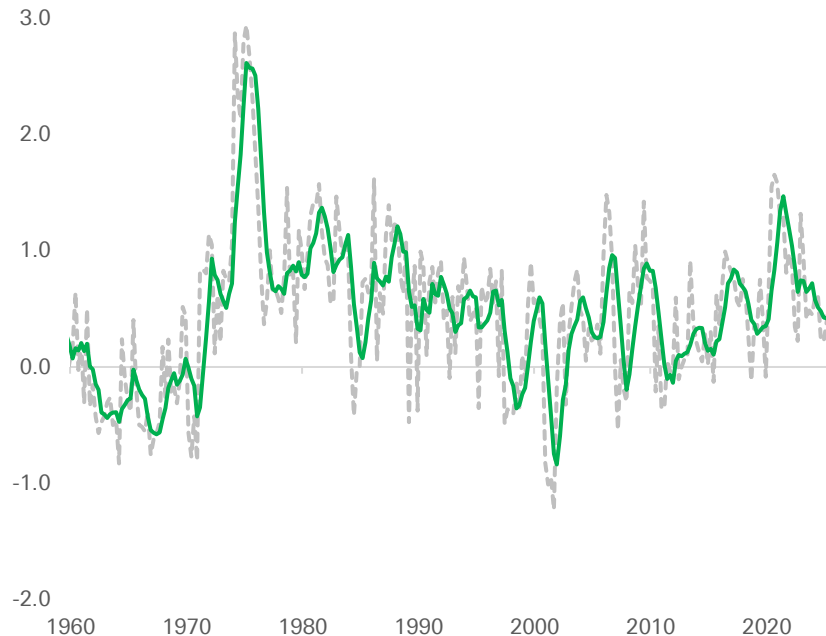
Rising share of renewables and falling CO2 relative to GDP have been the upward drivers of our index, offsetting the impact of higher policy uncertainty and growth in absolute fossil fuels production. Metals key to the transition have also been rallying.



Source: Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

Energy transition index

Higher = more renewables, greater transition incentives

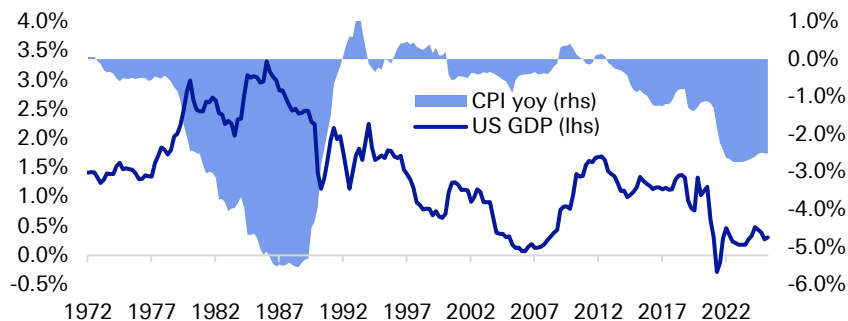




The US economy has become gradually less exposed to some of the key factors affecting consumer mood

Affordability and consumer sentiment remain a drag on our indicator, with some relative deceleration in labour market indicators also starting to weigh in. While off the lows seen in early 2020s, our gauge is yet to signal material improvement and a few indicators may deteriorate soon, including inflation.

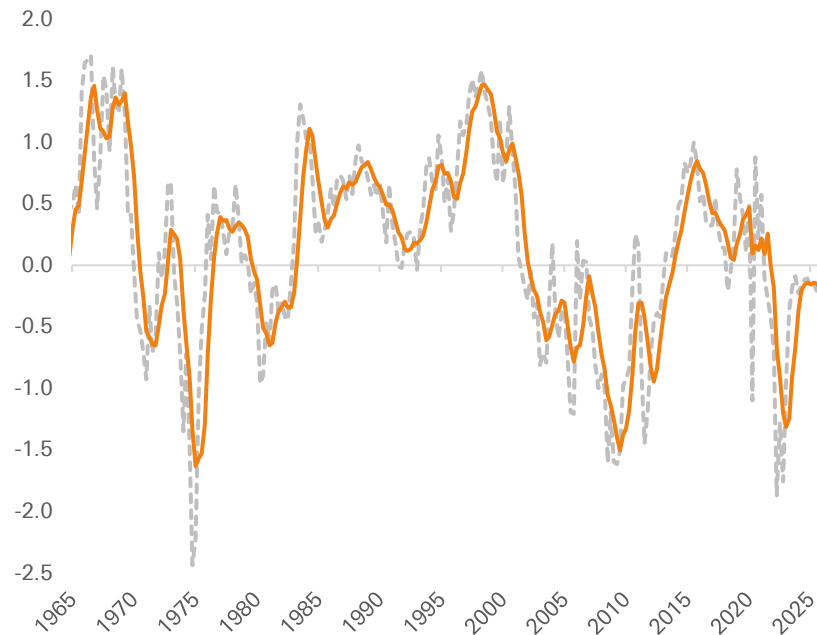
Rolling 10yr impact on GDP and CPI



Source: Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

US domestic politics and social tensions index

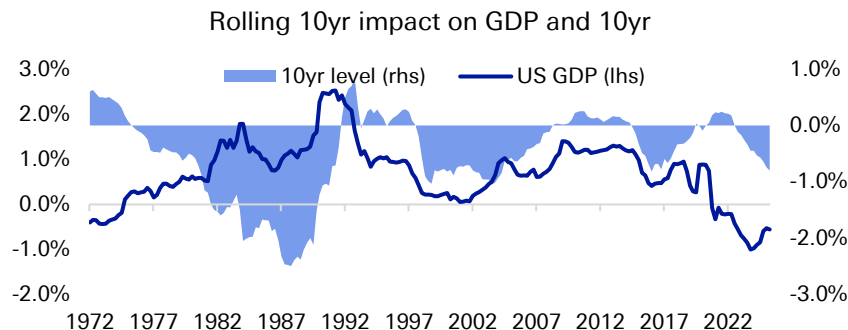
Higher = better sentiment, higher affordability, better labour market





A long-term fiscal headwind, but adaptation in some countries will likely mitigate some of the downside

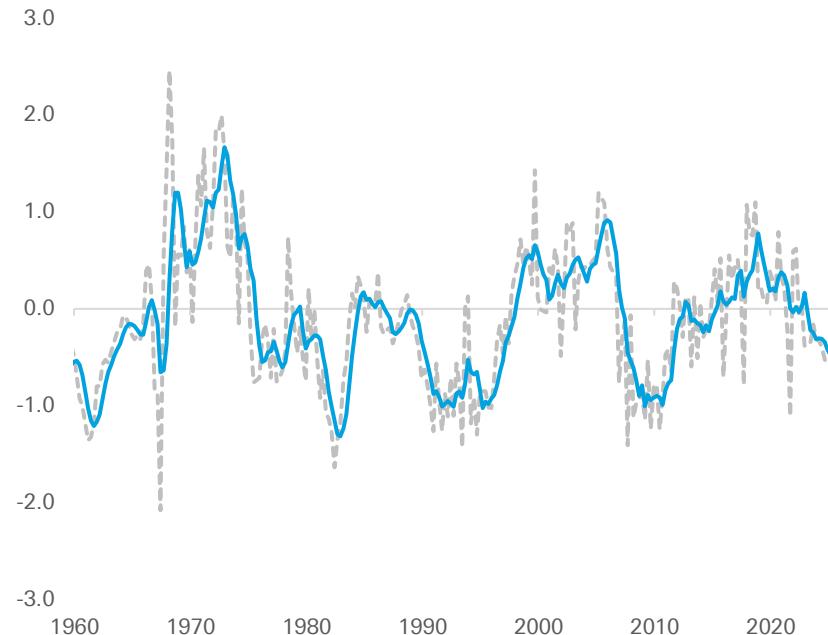
Deteriorating trends in working-age population ratio, births and immigration have been exacerbated by negative housing market dynamics recently, keeping our index c -0.5 standard deviations below the 10-yr mean. In the 1980s, the relationship between GDP (higher), CPI (lower) and better demographics was especially pronounced. This effect is much weaker now.



Source: Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

US demographic shifts index

Higher = younger working age population, more households and immigration





Appendix 1

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